

Economic Survey 2026 Key Highlights

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The Economic Survey 2026 highlights India's continued macroeconomic resilience, with FY26 real GDP growth estimated at 7.4%, low inflation, improved fiscal consolidation, and a strong banking and external sector despite global uncertainties. It underscores structural transformation driven by robust services growth, manufacturing revival, infrastructure expansion, digital and financial inclusion, poverty reduction, and a long-term vision of strategic resilience and strategic indispensability under the Viksit Bharat 2047 framework.

1. Overall State of the Economy

India remained the fastest-growing major economy for the fourth consecutive year, despite global headwinds such as geopolitical tensions, trade fragmentation and financial instability.

As per First Advance Estimates, real GDP growth for FY26 is projected at 7.4%, while GVA growth is estimated at 7.3%, indicating broad-based economic expansion.

Potential growth rate of the Indian economy is assessed at around 7%, with FY27 real GDP growth projected between 6.8–7.2%.

2. Consumption and Investment

Private Final Consumption Expenditure (PFCE) grew by 7% in FY26, reaching 61.5% of GDP, the highest level since 2012, reflecting strong domestic demand.

Rural consumption improved due to a good agricultural performance, while urban demand was supported by stable employment and tax rationalisation.

Gross Fixed Capital Formation (GFCF) rose by 7.8%, remaining steady at 30% of GDP, driven by sustained public capital expenditure and revival of private investment.

3. Fiscal Developments

Centre's revenue receipts increased to 9.2% of GDP in FY25, up from the pre-pandemic average of about 8.5%, reflecting improved tax buoyancy.

The direct tax base expanded, with income tax return filers increasing from 6.9 crore in FY22 to 9.2 crore in FY25, indicating better compliance and formalisation.

Gross GST collections during April–December 2025 stood at ₹17.4 lakh crore, registering a 6.7% year-on-year growth.

Effective capital expenditure of the Centre rose to about 4% of GDP in FY25, reinforcing growth through infrastructure creation.

India reduced its general government debt-to-GDP ratio by 7.1 percentage points since 2020, while maintaining high public investment.

4. Monetary Management and Banking Sector

The banking system showed strong resilience, with Gross NPAs declining to 2.2% in September 2025, a multi-decadal low.

Net NPAs declined further to 0.5%, reflecting improved asset quality and stronger balance sheets.

Credit growth of scheduled commercial banks accelerated to 14.5% (YoY) by December 2025, supporting economic activity.

5. Financial Inclusion and Capital Markets

Under PM Jan Dhan Yojana, 55.02 crore bank accounts were opened by March 2025, with 36.63 crore accounts in rural and semi-urban areas.

The number of unique investors crossed 12 crore in September 2025, with nearly 25% being women, highlighting widening financial participation.

Mutual fund penetration expanded beyond metros, with a growing share of investors from non-tier I and II cities.

GIFT City is emerging as an international financial hub, helping channel global capital into India.

6. External Sector Performance

India's share in global merchandise exports nearly doubled from 1% in 2005 to 1.8% in 2024, while services export share rose from 2% to 4.3%.

Total exports reached a record USD 825.3 billion in FY25, driven mainly by services exports.

Services exports touched an all-time high of USD 387.6 billion, growing by 13.6%.

India remained the largest recipient of remittances globally, with inflows of USD 135.4 billion in FY25, approximately 3.5% of GDP.

Foreign exchange reserves rose to USD 701.4 billion (January 2026), providing import cover of about 11 months and covering 94% of external debt.

7. Inflation Trends

India recorded the lowest average CPI inflation (1.7%) for April–December 2025 since the beginning of the CPI series.

The sharp decline in inflation was mainly due to moderation in food and fuel prices, strengthening household purchasing power.

8. Agriculture and Allied Sectors

Foodgrain production reached 3,577.3 LMT in AY 2024–25, an increase of 254.3 LMT over the previous year.

Horticulture, contributing about one-third of agricultural GVA, produced 362.08 MT, surpassing foodgrain output.

Livestock and fisheries sectors showed strong long-term growth with fish production increasing by more than 140 per cent during 2014-2024,

compared to the increase from 2004-14, reflecting diversification of rural incomes.

Under PM-KISAN, more than ₹4.09 lakh crore has been transferred to farmers, strengthening income support.

e-NAM enhanced price discovery by integrating farmers, traders and FPOs across States.

9. Services Sector

Services accounted for 53.6% of GDP and 56.4% of GVA, the highest ever, reflecting India's shift towards a service-led economy.

India emerged as the 7th largest services exporter globally, driven by IT, business services and digitally delivered services.

The services sector attracted over 80% of total FDI inflows during FY23–FY25.

10. Industry and Manufacturing

Industry GVA (in real terms) grew by 7% in H1 FY26, despite global slowdown pressures.

Manufacturing GVA accelerated to 7.72% in Q1 and 9.13% in Q2 FY26, indicating structural recovery.

PLI schemes across 14 sectors attracted over ₹2 lakh crore in investment, generated ₹18.7 lakh crore in output, and created 12.6 lakh jobs.

The India Semiconductor Mission advanced domestic manufacturing with ₹1.6 lakh crore investment across 10 projects.

11. Infrastructure and Connectivity

Central government capital expenditure increased over four times since FY18, reaching ₹11.21 lakh crore in FY26 (BE).

High-speed highway corridors expanded nearly ten-fold to 5,364 km.

Railway network expanded with near-total electrification (99.1%).

India became the 3rd largest domestic aviation market, with airports increasing from 74 (2014) to 164 (2025).

Power sector reforms led to DISCOMs recording a positive PAT of ₹2,701 crore in FY25 for the first time.

12. Social Sector: Education, Health and Employment

School enrolment improved with GERs exceeding 90% at primary and upper primary levels.

Expansion of premier institutions: 23 IITs, 21 IIMs and 20 AIIMS, including overseas IIT campuses.

India achieved faster reduction in maternal and child mortality than global averages since 1990.

Employment (15 years & above) stood at 56.2 crore persons in Q2 FY26, with new job creation supported by manufacturing and services.

e-Shram portal registered over 31 crore unorganised workers, with women forming 54%.

13. Poverty Reduction and Rural Development

Multidimensional Poverty Index (MPI) declined sharply from 55.3% (2005–06) to 11.28% (2022–23) as per NITI Aayog.

Social Services Expenditure increased to 7.9% of GDP in FY26 (BE).

SVAMITVA scheme improved rural asset ownership through drone-based property mapping.

14. Strategic Vision: From Swadeshi to Strategic Indispensability

The Survey advocates “Disciplined Swadeshi” through a three-tier framework focusing on strategic urgency, feasibility and cost-effectiveness.

Emphasises reducing input costs, strengthening advanced manufacturing, and integrating India into global value chains.

The long-term goal is to make India strategically indispensable in the global economic system.

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